

**HOUSE SUBSTITUTE FOR
SENATE BILL NO. 25**

A bill to amend 1974 PA 300, entitled
"Motor vehicle service and repair act,"
by amending sections 2, 9, 10b, 13b, 14, 15, 16, 17, 18, 22, 30,
32, 32a, 33, and 40 (MCL 257.1302, 257.1309, 257.1310b, 257.1313b,
257.1314, 257.1315, 257.1316, 257.1317, 257.1318, 257.1322,
257.1330, 257.1332, 257.1332a, 257.1333, and 257.1340), section 2
as amended by 2020 PA 227 and sections 9, 14, 15, 16, 17, 18, 22,
30, 32, and 33 as amended and sections 10b, 13b, and 32a as added
by 2016 PA 430, and by adding section 30a.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

- 1 Sec. 2. As used in this act:
- 2 (a) "Administrator" means the secretary of state or any
- 3 individual designated by the secretary of state to act ~~in his or~~



~~her place.~~ **on behalf of the secretary of state.**

(b) "Advertise" means to advise, announce, apprise, command, give notice of, inform, make known, or publish any material that calls to the attention of the public the availability of parts and services.

(c) "Approved educational institution" means a school, academy, or other similar establishment approved by the administrator under section 13a to provide training to mechanics or mechanical trainees under this act.

(d) "Automobile or light truck" means a motor vehicle that has a gross vehicle weight rating of less than 14,000 pounds.

(e) "Auxiliary facility" means a motor vehicle repair facility that meets the requirements of section 14(3).

(f) ~~(e)~~ "BAIID mechanic" means a specialty mechanic who holds a certification from the department under section 10 to perform BAIID service.

(g) ~~(f)~~ "BAIID service" means the installation, removal, repair, or other servicing of breath alcohol ignition interlock devices.

(h) ~~(g)~~ "Breath alcohol ignition interlock device" or "BAIID" means that term as defined in section 20d of the Michigan vehicle code, 1949 PA 300, MCL 257.20d.

(i) ~~(h)~~ "Contract" means a written or oral agreement, or a similar understanding or arrangement, in which a person agrees that another person will perform work, labor, diagnosis, repair, reconditioning, replacement, adjustment, or alteration, directly or indirectly, on a motor vehicle.

(j) ~~(i)~~ "Customer" means the owner or operator of a motor vehicle.



1 (k) ~~(j)~~ "Department" means the department of state.

2 (l) ~~(k)~~ "Distressed vehicle" means that term as defined in
3 section 12a of the Michigan vehicle code, 1949 PA 300, MCL 257.12a.

4 (m) **"Established place of business" means the premises**
5 **occupied continuously or at regular periods by a facility where**
6 **that facility maintains records.**

7 (n) ~~(l)~~ "Estimate" means a written statement that itemizes as
8 closely as possible the price for labor, by showing the labor price
9 per hour, the number of hours required to perform the work, and the
10 price of parts necessary for a specific repair.

11 (o) ~~(m)~~ "Facility" or "motor vehicle repair facility" means a
12 place of business that is required to register under this act,
13 **except for a motor vehicle repair facility that is an auxiliary**
14 **facility,** and that, for compensation, is engaged in the business of
15 performing, or employs individuals who perform, maintenance,
16 diagnosis, vehicle body work, ~~or repair service, or , beginning~~
17 ~~July 1, 2016, BAIID service, on a motor vehicle. The term does~~
18 **Facility and motor vehicle repair facility do** not include any of
19 the following:

20 (i) A person that engages only in the business of repairing the
21 motor vehicles of a single commercial or industrial establishment
22 or governmental agency.

23 (ii) An individual who is repairing ~~his or her~~ **the individual's**
24 own or a family member's motor vehicle.

25 (iii) A business that does not diagnose the operation of a motor
26 vehicle, does not remove parts from a motor vehicle to be
27 remachined, and does not install finished machined or remachined
28 parts on a motor vehicle. This subparagraph does not apply to a
29 motor vehicle repair facility that engages in the business of



performing, or employing individuals who perform, vehicle body work.

(iv) A BAIID facility described in section 625k(14) (d) of the Michigan vehicle code, 1949 PA 300, MCL 257.625k.

(p) ~~(n)~~ "Heavy-duty truck" means a motor vehicle that has a gross vehicle weight rating of 14,000 pounds or more and includes both single-unit and combination tractor trailer or tractor semitrailer vehicles.

(q) ~~(e)~~ "Late model vehicle" means that term as defined in section 24b of the Michigan vehicle code, 1949 PA 300, MCL 257.24b.

(r) ~~(p)~~ "Lien" means a security interest in or other encumbrance on a motor vehicle ~~—The term—~~ and includes a security interest created by agreement, a judicial lien obtained by legal or equitable process or proceedings, a common-law lien, or a statutory lien on a vehicle.

Sec. 9. (1) The administrator shall do all of the following:

(a) Certify master and specialty mechanics and issue permits to mechanic trainees who are subject to this act.

(b) Register motor vehicle repair facilities that are subject to this act.

(c) Keep a complete register of motor vehicle repair facilities, and make that register available for public inspection at the office of the secretary of state.

(d) Keep an accurate listing by name and by certificate number of each specialty and master mechanic who is certified by the administrator at the office of the secretary of state.

(e) Engage in a public information program to inform the public of ~~their~~ **the public's** rights and remedies under this act.

(f) Inform registered motor vehicle repair facilities at least



1 annually of the rules promulgated under this act, of representative
 2 disciplinary hearings, orders, or judgments issued or obtained by
 3 the administrator, and suspensions or revocations of registrations
 4 or licenses. A motor vehicle repair facility shall inform the
 5 mechanics in ~~its~~**the** employ **of the motor vehicle repair facility** of
 6 these actions.

7 (g) Establish procedures for receiving complaints relating to
 8 alleged violations of this act or rules promulgated under this act.

9 (h) Establish and collect fees for certification examinations
 10 administered by the administrator.

11 (i) Promulgate any rules that are necessary to implement this
 12 act under the administrative procedures act of 1969, 1969 PA 306,
 13 MCL 24.201 to 24.328.

14 (j) Issue declaratory rulings to implement this act. All of
 15 the following apply to a declaratory ruling under this subdivision:

16 (i) The administrator may issue a declaratory ruling concerning
 17 the applicability of this act or rules promulgated under this act
 18 to an actual statement of facts if the administrator receives a
 19 request for a declaratory ruling from an interested person and the
 20 interested person submits a clear and concise statement of facts to
 21 the administrator. The interested person may submit to the
 22 administrator a brief or other reference to legal authorities on
 23 which the interested person relies concerning the applicability of
 24 this act or rules promulgated under this act to the statement of
 25 facts.

26 (ii) If ~~he or she~~**the administrator** decides to issue a
 27 declaratory ruling, the administrator shall provide the interested
 28 person that requested the ruling a statement that ~~he or she~~**the**
 29 **administrator** will issue a declaratory ruling and the date by which



1 the administrator will issue the ruling.

2 (iii) A declaratory ruling shall include the actual statement of
3 facts provided by the interested person that requested the ruling,
4 the legal authority on which the administrator relies for ~~his or~~
5 ~~her~~ ~~the~~ ruling, if any, and the ruling of the administrator.

6 (iv) After ~~it~~ **a declaratory ruling** is issued, ~~a~~ ~~the~~ declaratory
7 ruling is binding on the administrator and ~~he or she may~~ **the**
8 **administrator shall** not retroactively change the ruling. However,
9 this subdivision does not prohibit the administrator from
10 prospectively changing a declaratory ruling.

11 (k) **Conduct a name-based background check on all motor vehicle**
12 **repair facility applicants during the application process using the**
13 **internet criminal history access tool (ICHAT) maintained by the**
14 **department of state police.**

15 (2) The administrator may conduct a name-based background
16 check for mechanics seeking new certification using the internet
17 criminal history access tool (ICHAT) maintained by the department
18 of state police.

19 (3) The administrator may use information received from a
20 background check under subsection (1)(k) or (2) to evaluate an
21 applicant's qualifications to receive a motor vehicle repair
22 facility or a certified specialty mechanic registration and
23 certification, as applicable, under this act.

24 Sec. 10b. (1) The administrator may issue a certification to
25 perform repair work as a specialty or master mechanic for
26 automobiles and light trucks in 1 or more of the following repair
27 categories **as identified by the National Institute for Automotive**
28 **Service Excellence or another mechanic organization approved by the**
29 **administrator:**



- 1 (a) Engine repair.
- 2 (b) Automatic transmission.
- 3 (c) Manual transmission, front and rear drive axle.
- 4 (d) Front end, suspension, and steering systems.
- 5 (e) Brakes and braking systems.
- 6 (f) Electrical systems.
- 7 (g) Heating and air-conditioning.
- 8 (h) Engine tune-up and performance.
- 9 (i) Collision-related mechanical repair.
- 10 (j) Unitized body structural repair.
- 11 (k) Pre-1973 automobile or light truck repair. As used in this
- 12 subdivision, "pre-1973 automobile or light truck repair" means the
- 13 repair of an automobile or light truck manufactured before 1973 or
- 14 the reconditioning, replacement, adjustment, or alteration of the
- 15 operating condition of any component or subassembly of an
- 16 automobile or light truck manufactured before 1973.
- 17 (l) BAIID service.
- 18 (2) The administrator may issue a certification to perform
- 19 repair work as a specialty or master mechanic for heavy-duty trucks
- 20 in 1 or more of the following repair categories **as identified by**
- 21 **the National Institute for Automotive Service Excellence or another**
- 22 **mechanic organization approved by the administrator:**
- 23 (a) Engine repair, gasoline.
- 24 (b) Engine repair, diesel.
- 25 (c) Drivetrains.
- 26 (d) Brakes and braking systems.
- 27 (e) Suspension and steering systems.
- 28 (f) Electrical systems.
- 29 (g) Collision-related mechanical repair.



1 (3) An individual who is applying for certification as a
2 specialty automobile or light truck mechanic is eligible for that
3 certification if ~~he or she~~ **the individual** passes an examination in
4 the repair category that relates to that specialty. An individual
5 who is applying for certification as a master automobile or light
6 truck mechanic is eligible for that certification if ~~he or she~~ **the**
7 **individual** passes the examinations in all repair categories listed
8 in subsection (1)(a) to (h).

9 (4) An individual who is applying for certification as a
10 specialty heavy-duty truck mechanic is eligible for that
11 certification if ~~he or she~~ **the individual** passes an examination in
12 the repair category that relates to that specialty. An individual
13 who is applying for certification as a master heavy-duty truck
14 mechanic is eligible for that certification if ~~he or she~~ **the**
15 **individual** passes the examinations in all repair categories listed
16 in subsection (2)(a) to (f).

17 (5) An individual who is applying for certification as a
18 master motorcycle mechanic is eligible for that certification if ~~he~~
19 ~~or she~~ **the individual** passes an examination pertaining to all
20 mechanical aspects of motorcycle repair.

21 (6) An individual who is applying for certification as a
22 recreational trailer mechanic is eligible for that certification if
23 ~~he or she~~ **the individual** passes an examination pertaining to all
24 mechanical aspects of the installation, service, and repair of
25 recreational trailer equipment. As used in this subsection,
26 "recreational trailer equipment" includes recreational trailer
27 brakes, suspension, wheels, or axles; adaptations and alterations
28 made to towing vehicles; and other items of equipment on a
29 recreational trailer required under sections 683 to 711 of the



1 Michigan vehicle code, 1949 PA 300, MCL 257.683 to 257.711.

2 Sec. 13b. (1) A certified specialty or master mechanic shall
3 display, in a conspicuous location in the ~~place of business where~~
4 ~~he or she~~ **motor vehicle repair facility where the certified**
5 **specialty or master mechanic** is employed or engaged to perform
6 repairs, a current and valid certificate issued by the
7 administrator. **A certified specialty or master mechanic who works**
8 **at an auxiliary facility does not need to display in the auxiliary**
9 **facility a current and valid certificate issued by the**
10 **administrator.**

11 (2) If a certified mechanic works on, inspects and approves,
12 or supervises a repair, ~~he or she~~ **the certified mechanic** shall
13 affix ~~his or her~~ **the certified mechanic's** name and certification
14 number, as assigned by the administrator, to the written statement
15 of repairs given **to** the customer under section 34.

16 (3) A certified specialty or master mechanic or mechanic
17 trainee shall not depart from, or disregard in any material
18 respect, accepted motor vehicle repair industry standards.
19 Compliance with published vehicle manufacturer, parts manufacturer,
20 equipment manufacturer, or recognized aftermarket repair manual
21 specifications creates a presumption that the mechanic or mechanic
22 trainee has followed accepted motor vehicle repair industry
23 standards.

24 (4) If the administrator, after notice and a hearing,
25 determines that a specialty or master mechanic or mechanic trainee
26 has violated subsection (3), the administrator may, under section
27 21, require that the specialty or master mechanic or mechanic
28 trainee do both of the following:

29 (a) Successfully complete a designated training course or



1 program as a prerequisite to continued certification.

2 (b) ~~Only perform~~ **Perform only** specific motor vehicle repairs
3 or repair procedures identified by the administrator until the
4 training course or program described in subdivision (a) is
5 completed.

6 Sec. 14. (1) ~~The~~ **Except for an auxiliary facility, the** owner
7 of a motor vehicle repair facility shall register the facility by
8 providing all of the following information to the administrator, on
9 a registration form provided by the administrator, accompanied by a
10 registration fee in an amount determined under section 30:

11 (a) The name ~~, address,~~ and form of ownership of the facility,
12 and if the owner is a corporation, the date and place of
13 incorporation.

14 (b) **For applicants that apply on or after February 1, 2026,**
15 **the location of the applicant's established place of business in**
16 **this state, along with written verification from the appropriate**
17 **municipal governing body or zoning authority that states that the**
18 **applicant's established place of business meets all applicable**
19 **municipal and zoning requirements.**

20 (c) ~~(b)~~ The name and address of each of the owner's resident
21 agents, officers, directors, and partners in this state, as
22 applicable.

23 (d) ~~(e)~~ The principal occupation or business for the past 5
24 years of all of the following, as applicable:

25 (i) Each person that owns ~~10%~~ **25%** or more of the facility.

26 (ii) For each owner described in subparagraph (i), every officer
27 and director if the owner is a corporation; every partner if the
28 owner is a partnership; and any other person that occupies a
29 similar status or performs similar functions.



1 **(e)** ~~(d)~~ A description of the facility that includes all of the
 2 following **information**:

3 (i) The type of service business the facility operates.

4 (ii) The type of repairs the facility performs.

5 (iii) The type of vehicles the facility services.

6 (iv) The number of mechanics the facility employs who perform
 7 repairs.

8 (v) ~~The~~ **Subject to subdivision (f), the** range of gross revenue
 9 received by the facility from performing repairs, including revenue
 10 from parts and goods sold in conjunction with repairs, for the most
 11 recent federal income tax year.

12 (vi) Measured in square feet, the size of ~~that part of the~~
 13 **space within** the facility ~~utilized~~ **used** for performing repairs.

14 **(f) Unless the applicant's gross revenue exceeds \$300,000.00,**
 15 **proof of the facility's gross revenue provided under subdivision**
 16 **(e) (v), if requested by the administrator.**

17 **(g)** ~~(e)~~ An irrevocable appointment of the secretary of state
 18 as the agent for the facility for service of process.

19 **(h)** ~~(f)~~ A copy of each instrument, form, contract, or other
 20 document used by the applicant in ~~dealing~~ **connection** with the
 21 ~~public in the repair of motor vehicles~~ **for the public**, including,
 22 but not limited to, all of the following:

23 (i) Any document on which the facility routinely requires ~~the a~~
 24 customer's signature.

25 (ii) Any document used by the facility in connection with
 26 providing estimates, diagnoses, or repairs.

27 (iii) Any invoices, warranties, or waivers.

28 (iv) Any other document used by the facility to comply with
 29 this act or rules promulgated under this act.



1 (i) A certification that neither the applicant or another
2 person named on the application is acting as the alter ego of any
3 other person in seeking the registration. As used in this
4 subdivision, "alter ego" means a person that acts for and on behalf
5 of, or in the place of, another person for purposes of obtaining a
6 vehicle repair facility registration.

7 (j) A statement of the previous history, record, and
8 associations of the applicant and each owner, partner, officer, or
9 director of the applicant related to all current or past motor
10 vehicle repair facilities.

11 (k) If applicable, any auxiliary facilities that will share
12 the same registration and registration number as the facility that
13 the owner is registering.

14 (l) ~~(g)~~ Any other relevant information required by the
15 administrator.

16 (2) Subject to this section, the owner of a motor vehicle
17 repair facility that is registered under subsection (1) may be
18 approved for a single, auxiliary facility under the same
19 registration and registration number as the facility registered
20 under subsection (1) if the owner of that motor vehicle repair
21 facility submits an application for an auxiliary facility to the
22 department, along with written verification from the appropriate
23 municipal governing body or zoning authority that states that the
24 auxiliary facility meets all applicable municipal and zoning
25 requirements. The application for an auxiliary facility must be in
26 a format as determined by the administrator.

27 (3) An auxiliary facility must meet all of the following
28 requirements:

29 (a) Be located within a 3-mile radius of the motor vehicle



1 repair facility described under subsection (2).

2 (b) Serve as an extension of the motor vehicle repair facility
3 described under subsection (2).

4 (c) Mirror the registered facility's hours of operation, types
5 of vehicles serviced, and repairs performed.

6 (d) Rely on the established place of business of the motor
7 vehicle repair facility described under subsection (2) for all in-
8 person customer interactions including, but not limited to,
9 customer drop off and pick up of vehicles, payment for services
10 rendered, invoice generation, and other documents shared with a
11 customer.

12 (e) Not perform any repairs that are not approved, directed,
13 or initiated by and through the motor vehicle repair facility
14 described under subsection (2).

15 (4) Upon receiving an application for an auxiliary facility
16 under subsection (2), the administrator shall review the compliance
17 history of the registered motor vehicle repair facility and may, if
18 the registered motor vehicle repair facility has any of the
19 following, deny the application or revoke the approval of the
20 application:

21 (a) Two or more unresolved violations involving customer parts
22 retention.

23 (b) Two or more unresolved violations for failing to maintain
24 records.

25 (c) An unresolved violation for hindering or obstructing a
26 general compliance inspection or a consumer complaint inspection.

27 (5) An auxiliary facility does not need any of the following:

28 (a) A registration certificate with a separate registration
29 number from the facility with which the auxiliary facility shares a



1 registration.

2 (b) An exterior sign that identifies the business.

3 (c) Any customer instrument, form, contract, written
4 statement, or other document required under section 32(6) or
5 section 34 that is distinct from the instruments, forms, contracts,
6 written statements, or other documents used by the facility with
7 which the auxiliary facility shares a registration.

8 (d) A consumer information sign.

9 (e) A notice of parts return sign.

10 Sec. 15. (1) A motor vehicle repair facility registration
11 under this act takes effect on the date ~~it~~**the registration** is
12 approved by the administrator and expires 1 year after that date.
13 ~~The~~**Except as otherwise provided in subsection (4), the** owner of a
14 motor vehicle repair facility shall renew ~~its~~**the facility's**
15 registration annually and shall submit an application for renewal
16 of the registration, accompanied by a registration fee in an amount
17 determined under section 30, with the administrator ~~at least~~**not**
18 **later than** 30 days before the expiration of ~~its~~**the facility's**
19 then-current registration.

20 (2) A motor vehicle repair facility may continue to operate
21 after the expiration date of ~~its~~**the facility's** then-current
22 registration, pending approval of the renewal application by the
23 administrator, if the renewal application and renewal fee are
24 received by the administrator on or before the expiration date. If
25 a renewal application and renewal fee are filed after the
26 expiration date, the facility may operate from the day on which the
27 application and appropriate fee are received by the administrator,
28 pending approval of the renewal application. The administrator
29 shall charge a fee of 1-1/2 times the normal registration fee **for**



1 **each year the license is expired** if the renewal application is
 2 received by the administrator after the expiration date.

3 (3) A person that owns more than 1 motor vehicle repair
 4 facility shall file a single registration form for all of those
 5 facilities annually, that along with the other information required
 6 under this act, clearly indicates the location of and the
 7 individual in charge of each facility, and shall pay a separate
 8 registration fee, **except for a facility that is an auxiliary**
 9 **facility**, for each of those facilities.

10 (4) Beginning on July 1, 2026, an owner of a motor vehicle
 11 repair facility with a gross revenue that exceeds \$300,000.00 may
 12 renew the facility's registration for more than 1 year but not more
 13 than 4 years if the owner submits an application for renewal to the
 14 administrator accompanied by a registration fee in an amount
 15 determined under section 30(4).

16 Sec. 16. (1) If there is a change ~~in~~**of** ownership of a motor
 17 vehicle repair facility, a new registration and payment of a new
 18 registration fee is required and the facility shall not operate
 19 until ~~its~~**the facility's** registration application is approved by
 20 the administrator and the fee is paid. If a name ~~or~~**and** address of
 21 ~~the~~**a** motor vehicle repair facility changes ~~,~~**and** there is not a
 22 change of ownership, the facility shall notify the administrator in
 23 writing of the change ~~and shall make the appropriate changes on the~~
 24 ~~next renewal registration when due.~~**by completing and submitting the**
 25 **repair facility change of address notification not less than 30**
 26 **days before the date the change is to take place. If an address of**
 27 **a motor vehicle repair facility changes, the facility shall submit**
 28 **a written verification from the appropriate municipal governing**
 29 **body or zoning authority that states that the established place of**



1 **business and, if applicable, any auxiliary facility, meet all**
 2 **applicable municipal and zoning requirements.**

3 (2) If the owner of a motor vehicle repair facility is a
 4 corporation, and ~~10%~~**25%** or more of the stock of the corporation is
 5 sold or transferred, the owner shall notify the administrator of
 6 that change ~~within~~**not later than** 30 days ~~of~~**after** the sale or
 7 transfer.

8 (3) As used in this section, "change of ownership" means a
 9 sale of all or part of a facility to a new owner, ~~The term~~
 10 ~~includes~~**including** a sale or transfer of a partnership interest in
 11 the owner of a facility if the owner is a partnership. ~~The term~~
 12 **Change of ownership** does not include the sale or transfer of stock
 13 in the owner of a facility if the owner is a corporation.

14 Sec. 17. (1) The owner of a facility that is registered or is
 15 required to register under this act shall ensure that the facility
 16 ~~is~~**and, if applicable, any auxiliary facilities are** open to
 17 inspection by the administrator and other law enforcement officials
 18 during reasonable business hours. During reasonable business hours,
 19 the administrator and other law enforcement officials may make
 20 periodic unannounced inspections of the premises, parts records,
 21 and parts inventories of a facility **or auxiliary facility.**

22 (2) A person shall not hinder, obstruct, or otherwise prevent
 23 an inspection under this section or section 18 or 18a.

24 (3) As used in this section, "reasonable business hours"
 25 includes any posted or advertised business hours of a facility.

26 Sec. 18. (1) The owner of a motor vehicle repair facility
 27 shall maintain reasonable business records for the facility **and, if**
 28 **applicable, any auxiliary facilities** and ensure that those records
 29 are open for reasonable inspection by the administrator or other



1 law enforcement officials. As used in this subsection, "reasonable
2 business records" includes those documents and records described in
3 subsection (2) (a) to (c).

4 (2) The owner of a motor vehicle repair facility shall retain
5 the records of the facility **and, if applicable, any auxiliary**
6 **facilities** for the following time periods:

7 (a) The owner shall retain copies of each instrument, form,
8 contract, or other document used in connection with a repair
9 transaction, including, but not limited to, all of the following
10 for at least 3 years after completion of the repair transaction:

11 (i) Any document on which the facility required the customer's
12 signature.

13 (ii) Any document used by the facility in connection with
14 providing an estimate, diagnosis, or repair.

15 (iii) Any invoice, warranty, or waiver.

16 (iv) Any other document used by the facility to record or
17 convey the terms of the transaction.

18 (v) Any other document required under this act or rules
19 promulgated under this act in connection with a repair transaction.

20 (b) If a facility is advised by the administrator that ~~he or~~
21 ~~she~~ **the administrator** has received a complaint about a repair
22 transaction performed by the facility, and the facility is under
23 investigation by the administrator, the owner shall retain records
24 relating to the transaction or otherwise relevant to the complaint
25 until the date the administrator advises the facility in writing
26 that the complaint is closed, or for 3 years after the completion
27 of the repair transaction, whichever is later.

28 (c) If a repair transaction involves the assumption by the
29 facility of an obligation ~~extending beyond~~ **for more than** 3 years,



1 the owner shall retain records or documents relating to that
2 obligation for ~~at least~~ **not less than** the term of the obligation.

3 (d) For any other document or record than those described in
4 subdivision (a), (b), or (c), the owner shall retain that document
5 or record for ~~at least~~ **not less than** 3 years.

6 **(e) Business records for an auxiliary facility must be stored**
7 **at the facility with which the auxiliary facility shares a**
8 **registration.**

9 (3) A facility that engages in vehicle body work shall
10 maintain records in a form prescribed by the administrator. The
11 records ~~shall~~ **must** contain the date of purchase or acquisition of
12 each distressed vehicle, a description of the vehicle, and the name
13 and address of the person from which the vehicle was acquired. If
14 the vehicle is sold, the record ~~shall~~ **must** contain the date of sale
15 and the name and address of the purchaser. The record ~~shall~~ **must**
16 indicate whether a certificate of title or salvage certificate of
17 title was obtained by the facility for the vehicle. If the vehicle
18 is a late model vehicle, the facility shall maintain a record of
19 the purchase or sale of each major component part purchased or
20 acquired by the facility for the vehicle. The record ~~shall~~ **must**
21 contain the date of purchase or acquisition of the part, a
22 description of the part, the identification number assigned to the
23 part, and the name and address of the person to or from which the
24 part was purchased, acquired, or sold.

25 (4) A facility shall maintain or attach the record of a sale,
26 purchase, or acquisition of a major component part to a police book
27 described in section 251 of the Michigan vehicle code, 1949 PA 300,
28 MCL 257.251. A facility shall make ~~its~~ **the facility's** police book
29 and ~~its~~ **the facility's** records of vehicle part sales, purchases, or



1 acquisitions immediately available for inspection by the
2 administrator and other law enforcement officials if a request for
3 inspection is made.

4 (5) This section does not authorize a facility to engage in
5 the business of dealing in vehicles or salvageable parts without a
6 dealer's license under the Michigan vehicle code, 1949 PA 300, MCL
7 257.1 to 257.923.

8 Sec. 22. (1) The administrator may take any administrative
9 action described in subsection (2) if the administrator determines
10 that a facility, mechanic, or trainee, or a stockholder, officer,
11 director, or partner of a facility that is a corporation or
12 partnership, does 1 or more of the following:

13 (a) Makes an untrue statement of a material fact.

14 (b) Violates this act or a rule promulgated under this act.

15 (c) Violates a condition of probation.

16 (d) Makes unnecessary repairs or repairs not authorized by the
17 customer.

18 (e) Refuses to honor warranties made by a facility.

19 (f) Causes or allows a customer to sign a document in blank
20 relating to the repair of a motor vehicle.

21 (g) Is enjoined by a court of competent jurisdiction from
22 engaging in the trade or business of repairing motor vehicles or
23 from a violation of this act or a rule promulgated under this act.

24 (h) Fails to comply with the terms of a final cease and desist
25 order.

26 (i) Is convicted of a violation of this act.

27 (j) Uses the waiver of liability provision in an attempt to
28 evade this act.

29 (k) Is convicted of a violation of 1986 PA 119, MCL 257.1351



1 to 257.1355.

2 (l) Is convicted under section 413, 415, 535, 535a, or 536a of
3 the Michigan penal code, 1931 PA 328, MCL 750.413, 750.415,
4 750.535, 750.535a, and 750.536a, or has been convicted in another
5 state of a violation of a law substantially corresponding to 1 of
6 those sections of the Michigan penal code.

7 (m) **Violates section 233a(6), 254, or 257(1) to (3) of the**
8 **Michigan vehicle code, 1949 PA 300, MCL 257.233a, 257.254, and**
9 **257.257, or has been convicted in another state of a violation of**
10 **law substantially corresponding to a section listed under this**
11 **subdivision.**

12 (2) After notice and opportunity for a hearing, the
13 administrator may do 1 or more of the following if he or she
14 determines that a facility, mechanic, or trainee, or a stockholder,
15 officer, director, or partner of a facility that is a corporation
16 or partnership, violates subsection (1):

17 (a) Place a limitation on a registration, certificate, or
18 mechanic trainee permit.

19 (b) Suspend a registration, certificate, or mechanic trainee
20 permit.

21 (c) Deny a registration, certificate, or mechanic trainee
22 permit or renewal of a registration, certificate, or mechanic
23 trainee permit.

24 (d) Revoke a registration, certificate, or mechanic trainee
25 permit.

26 (e) Censure the person that holds a registration, certificate,
27 or mechanic trainee permit.

28 (3) As an alternative or in addition to administrative action
29 under subsection (2) for a violation or alleged violation of



subsection (1), the administrator may, by written agreement with a person that holds a registration, certificate, or mechanic trainee permit, place a registration, certificate, or mechanic trainee permit on probation and include conditions of probation in the agreement.

(4) The remedies and sanctions under this act are independent and cumulative. The use of a remedy or sanction under this act, including, but not limited to, administrative action by the administrator under subsection (2) or an agreement for probation under subsection (3), does not bar other lawful remedies and sanctions against a person and does not limit a person's criminal or civil liability under law.

Sec. 30. (1) ~~The~~ **Beginning on July 1, 2026, the nonrefundable** registration fee for the registration of a facility is determined by a sliding fee scale that is based on the gross annual revenue of the facility, as follows:

GROSS ANNUAL REVENUE	FEE
under \$5,000.00 \$50,000.00	\$ 25.00 100.00
\$5,001.00 \$50,000.00 to \$15,000.00 \$100,000.00	50.00 200.00
\$15,001.00 \$100,001.00 to \$25,000.00 \$200,000.00	75.00 300.00
\$25,001.00 \$200,001.00 to \$40,000.00 \$300,000.00	100.00 400.00
\$40,001.00 to \$60,000.00 over \$300,000.00	125.00 500.00
\$60,001.00 to \$80,000.00	150.00
\$80,001.00 to \$100,000.00	175.00
\$100,001.00 to \$120,000.00	200.00
\$120,001.00 to \$140,000.00	225.00
\$140,001.00 to \$160,000.00	250.00
\$160,001.00 to \$180,000.00	275.00
\$180,001.00 to \$200,000.00	300.00



1	\$200,001.00 to \$220,000.00	325.00
2	\$220,001.00 to \$240,000.00	350.00
3	\$240,001.00 to \$260,000.00	375.00
4	\$260,001.00 to \$280,000.00	400.00
5	\$280,001.00 to \$300,000.00	425.00
6	\$300,001.00 to \$320,000.00	450.00
7	\$320,001.00 to \$340,000.00	475.00
8	over \$340,000.00	500.00

9 (2) ~~The~~ **Beginning on July 1, 2026, the nonrefundable**
10 examination, application, certificate, and renewal fees for the
11 certification of mechanics are as follows:

12 (a) Each certification examination administered by the
13 administrator, ~~\$6.00.~~ **\$18.00. Notwithstanding the requirements of**
14 **section 40, the department shall deposit \$12.00 of each \$18.00**
15 **certification examination fee the department receives into the**
16 **mechanic certification examination fund created under section 30a.**

17 (b) Application for original certificate, \$25.00. However, any
18 of the following may apply for an original specialty or master
19 mechanic certificate without paying a fee under this subdivision:

20 (i) An individual who is currently certified by the
21 administrator in at least 1 repair category may apply for
22 certification in 1 or more additional repair categories without
23 paying a fee under this subdivision.

24 (ii) A mechanic trainee who presents proof that ~~he or she~~ **the**
25 **trainee** has successfully completed 30 or more hours of continuing
26 mechanic education courses given by an approved educational
27 institution during the 5-year period immediately preceding the date
28 the trainee submits the application for certification.

29 (iii) An individual who served in the armed forces; was



separated from that service; and provides to the administrator a form DD214, a form DD215, or any other form that is satisfactory to the administrator that demonstrates that the individual was separated from that service, with an honorable character of service or under honorable conditions (general) character of service.

(c) Application for renewal certificate, \$20.00.

(d) Replacement certificate, \$5.00.

(3) The permit fees for a mechanic trainee are as follows:

(a) Application for a mechanic trainee permit, \$20.00.

However, either of the following may apply for a mechanic trainee permit without paying a fee under this subdivision:

(i) An individual who is currently certified by the administrator in at least 1 repair category.

(ii) A student who is currently enrolled in a vocational education or special education program that includes employment by a motor vehicle repair facility; that is approved by the department of education; and for which the student receives credit toward the award of a high school or special education diploma.

(b) Replacement of trainee permit, \$5.00.

(4) Beginning on July 1, 2026, the fee for a multiyear registration described under section 15(4) is the applicable fee under subsection (1) multiplied by the number of years the registration is renewed.

(5) ~~(4)~~ As used in this section, ÷

~~(a) "Armed forces" means that term as defined in section 2 of the veteran right to employment services act, 1994 PA 39, MCL 35.1092.~~

~~(b) "Gross"~~ **gross** annual revenue" means a facility's gross revenue from performing repairs, including parts and goods sold in



1 conjunction with repairs, in ~~its~~**the facility's** most recently
2 completed federal income tax year, or, if the facility has not been
3 in business for a complete federal income tax year, the facility's
4 reasonably anticipated gross revenue for ~~its~~**the facility's** first
5 full federal income tax year of operation.

6 **Sec. 30a. (1) The mechanic certification examination fund is**
7 **created in the state treasury.**

8 **(2) Beginning on July 1, 2026, the state treasurer shall**
9 **deposit money and other assets received from any other source into**
10 **the fund. The state treasurer shall direct the investment of money**
11 **in the fund and credit interest and earnings from the investments**
12 **to the fund.**

13 **(3) The department of state is the administrator of the fund**
14 **for audits of the fund.**

15 **(4) Beginning on July 1, 2026, the department of state shall**
16 **expend money from the fund, on appropriation, only for 1 or more of**
17 **the following purposes:**

18 **(a) To develop and update the content of the mechanic**
19 **certification examination.**

20 **(b) To administer the mechanic certification examination.**

21 **Sec. 32. (1) Before beginning repair work, a motor vehicle**
22 **repair facility shall give to the customer a written estimate that**
23 **itemizes as closely as possible the price for labor and parts**
24 **necessary for the work. A facility shall not charge for work done**
25 **or parts supplied in excess of the estimated price, or in excess of**
26 **the limit stated by the customer in the waiver described in**
27 **subsection (3), without the knowing written or oral consent of the**
28 **customer, obtained at some time after the facility determines that**
29 **the estimated price or stated limit is insufficient and before any**



1 work that is not estimated or is in excess of the limit is done or
2 the parts that are not estimated or are in excess of the limit are
3 supplied. If a waiver is not signed under subsection (3) and the
4 estimated price is exceeded by not more than 10% or \$50.00,
5 whichever is lesser, the facility is not required to obtain the
6 written or oral consent of the customer for the excess charge
7 unless specifically requested by the customer. This section ~~shall~~
8 **must** not be construed as requiring a motor vehicle repair facility,
9 mechanic, or mechanic trainee to give a written estimated price if
10 the facility, mechanic, or trainee agrees not to perform the
11 requested repair. If the actual cost of a repair is less than the
12 agreed on estimated cost, the customer shall pay only the actual
13 cost.

14 (2) If a facility or mechanic informs the customer that the
15 price for repair will exceed the written estimate or the stated
16 limit in the waiver and the customer does not want the repair work
17 performed, the customer is responsible for all reasonable costs to
18 return the vehicle to the condition ~~it~~**the vehicle** was in at the
19 time ~~it~~**the vehicle** entered the facility. The facility shall
20 indicate those costs in written form, itemizing the costs as
21 closely as possible with a copy given to the customer. The cost of
22 a diagnosis made by the facility, whether or not the customer
23 authorizes the facility to perform those repairs, ~~shall~~**must** be
24 included in the written estimate before the diagnosis is
25 undertaken.

26 (3) If a customer initiates a request for service or parts for
27 the repair of a motor vehicle without receiving a written estimate
28 and voluntarily agrees to pay all reasonable costs of repair up to
29 an amount stated by the customer, a facility may obtain from the

customer a waiver of ~~his or her~~ **the customer's** right to receive a prior estimate of repair costs. The waiver ~~shall~~ **must** be in 14 point or larger bold capital type face and executed with 1 copy to the customer who is requesting the repairs. The waiver ~~shall~~ **must** read as follows:

"I, _____, voluntarily authorize _____ to provide services or parts in the repair of the below described motor vehicle without receiving an estimate of repair costs. By signing this form, I understand that I will give up my right to:

1. Receive a written estimate of the cost for repairs;
2. Approve in advance any repairs or costs with a total cost under \$ _____; and
3. Refuse to pay for repairs with a total cost less than the amount stated above.

The facility may exceed the amount stated above only after I give my written or oral approval.

Motor vehicle description:

Customer signature _____

Date _____

Time _____".

(4) A waiver described in subsection (3) is not effective unless ~~it~~ **the waiver** is given by the customer voluntarily and with full knowledge of the implications of the waiver. A motor vehicle repair facility or anyone in ~~its~~ **the facility's** employ shall not make use of a waiver described in subsection (3) in an attempt to evade this act.

(5) ~~A~~ **Except for a motor vehicle repair facility that is an auxiliary facility,** a motor vehicle repair facility shall at all times display, in a place and manner conspicuous to ~~its~~ **the**



1 **facility's** customers, a current and valid certificate of repair
2 facility registration issued by the administrator.

3 (6) A motor vehicle repair facility shall include ~~its~~**the**
4 **facility's** registration number, as assigned by the administrator,
5 on each copy of any instrument, form, contract, or other document
6 used by the applicant in dealing with the public in the repair of
7 motor vehicles, including, but not limited to, all of the
8 following:

9 (a) Any document on which the facility routinely requires the
10 customer's signature.

11 (b) Any document used by the facility in connection with
12 providing estimates, diagnoses, or repairs.

13 (c) Any invoices, warranties, or waivers.

14 (d) Any other document used by the facility to comply with
15 this act or rules promulgated under this act.

16 Sec. 32a. (1) A motor vehicle repair facility shall display a
17 consumer information sign. The sign ~~shall~~**must** contain 12 lines of
18 lettering worded substantially as follows:

19 "THIS ESTABLISHMENT IS REGISTERED WITH THE MICHIGAN DEPARTMENT
20 OF STATE AND IS REQUIRED BY LAW TO FURNISH A CUSTOMER WITH A:

21 (1) WRITTEN ESTIMATE IF REPAIRS WILL BE \$50 OR MORE OR ON
22 REQUEST IF REPAIRS WILL BE LESS THAN \$50.

23 (2) DETAILED STATEMENT OF LABOR AND PARTS SUPPLIED. QUESTIONS
24 REGARDING SERVICE WORK SHOULD BE DIRECTED FIRST TO THE MANAGER OF
25 THIS REPAIR FACILITY.

26 MICHIGAN DEPARTMENT OF STATE

27 P.O. BOX _____, LANSING, MI 489____

28 TOLL-FREE TELEPHONE: 800 _____

29 MON.-FRI., 8:30 A.M. - 4:30 P.M.



DEPARTMENT OF STATE WEBSITE: _____."

(2) All of the following apply to a sign required under subsection (1):

(a) It ~~shall~~**must** be rectangular in shape and ~~at least~~**not less than** 28 inches high by 24 inches wide.

(b) It ~~shall~~**must** be constructed of durable material.

(c) The background of the sign ~~shall~~**must** be white.

(d) Print and other markings on the sign ~~shall~~**must** be black.

(e) The wording of the sign ~~shall~~**must** be printed in bold, block, capital letters that are ~~1-inch~~**1 inch** high and ~~1/2-inch~~**1/2 inch** wide in lines 1, 2, 8, 9, 10, and 12; ~~3/4-inch~~**3/4 inch** high and ~~1/2-inch~~**1/2 inch** wide in line 11; and ~~1/2-inch~~**1/2 inch** high and ~~3/8-inch~~**3/8 inch** wide in lines 3 to 7.

(f) The sign ~~shall~~**must** be laid out in a clearly legible fashion, with the lettering arranged so that there is ~~at least~~**not less than** a 1/8-inch space between any 2 letters within a line and ~~at least~~**not less than** a 1/2-inch space between any 2 lines.

(g) The sign ~~shall~~**must** include the address, telephone numbers, and ~~Internet~~ website address of the department in lines 9, 10, and 12, as provided by the administrator.

(3) All of the following apply to the display of a sign required under subsection (1) by a motor vehicle repair facility:

(a) The facility shall display the sign at each entrance to the facility and at each cashier station. As used in this subsection **and section 33(8)**, "entrance to the facility" means each location in or about the facility where customer repair service orders are initially executed.

(b) The facility shall ensure that the sign is unobstructed and clearly and readily visible to customers.



1 (c) If the facility is not enclosed or is a mobile facility,
2 the facility shall ensure that ~~it~~**the sign** is placed in an area
3 where ~~it~~**the sign** is easily noticeable to customers who are
4 transacting business with the facility.

5 (4) The administrator may require that a facility replace any
6 sign that does not meet all of the requirements of this section or
7 is no longer readily legible, or that the facility reposition any
8 sign that is improperly displayed.

9 Sec. 33. (1) A motor vehicle repair facility shall return
10 replaced parts to the customer at the time the repair work is
11 completed. All of the following apply to the obligation to return
12 replaced parts under this subsection:

13 (a) A facility is not required to return any of the following
14 replaced parts to the customer:

15 (i) Parts that are exempted from the return requirement by the
16 administrator because of size, weight, or similar factors. However,
17 a facility shall not prevent a customer from removing any heavy or
18 large part, by the customer's own means and at ~~his or her~~**the**
19 **customer's** expense.

20 (ii) Subject to subsection (3), parts that the motor vehicle
21 repair facility or mechanic is required to return to the
22 manufacturer or distributor under a warranty or exchange
23 arrangement.

24 (iii) For reasons of safety, a gasoline tank or any other
25 container-type part that was filled with or was otherwise in
26 appreciable contact with flammable fuels, unless that part is
27 rendered nonflammable.

28 (b) If any returned part presents an actual danger of
29 flammability or explosiveness, the facility shall clearly inform



1 the customer of that danger.

2 (c) When the repair work is completed, if requested by the
3 customer, the facility shall reasonably clean the replaced parts
4 that are to be returned or inspected by the customer. The facility
5 shall place portable parts in a suitable container. The facility
6 shall store any parts that ~~it~~**the facility** identifies as not
7 portable in a suitable place in the facility for the customer's
8 inspection.

9 (d) If a facility charges a fee to a customer in connection
10 with the return of replaced parts, the facility ~~must~~**shall** disclose
11 that fee to the customer in writing before the customer engages the
12 facility to replace the part.

13 (2) A customer ~~shall~~**must** be informed of ~~his~~**the customer's**
14 right to receive or inspect replaced parts as provided in this
15 section before the customer executes any document or engages the
16 facility or mechanic for the work. Subject to subsection (5), the
17 facility shall provide this information to the customer by
18 providing the following notice to the customer, printed or
19 displayed on the face of any contract, work order form, or other
20 document that evidences the engagement of the facility or mechanic
21 in ~~at least~~**not less than** 12-point boldfaced letters that are ~~at~~
22 ~~least~~**not less than** 4 points larger than the principal size of the
23 letters in that document, or providing the notice in a separate
24 written document in ~~at least~~**not less than** 12-point, boldfaced,
25 capital letters, as follows:

26 "YOU ARE ENTITLED BY LAW TO THE RETURN OF ALL PARTS REPLACED,
27 EXCEPT THOSE WHICH ARE TOO HEAVY OR LARGE, AND THOSE REQUIRED TO BE
28 SENT BACK TO THE MANUFACTURER OR DISTRIBUTOR BECAUSE OF WARRANTY
29 WORK OR AN EXCHANGE AGREEMENT. YOU ARE ENTITLED TO INSPECT THE



1 PARTS WHICH CANNOT BE RETURNED TO YOU."

2 (3) If a facility is obligated to return a replaced part to
3 the manufacturer or a distributor under a warranty agreement, or,
4 subject to subsection (4), under an exchange agreement, the
5 facility is not required to return that part to the customer.
6 However, the facility or mechanic shall offer the customer an
7 opportunity to inspect the replaced part. If the customer accepts
8 the offer to inspect the part, or otherwise requests to inspect the
9 part, the facility or mechanic shall allow the customer to inspect
10 the part when the repair work is completed. A facility is not
11 required to show a replacement part to a customer if the
12 replacement is made without charge to the customer.

13 (4) If replacement of a part is contingent on the facility
14 keeping the part under an exchange agreement, the facility shall
15 explain, in a manner understandable to the customer, the precise
16 terms of the exchange agreement, including if applicable a
17 disclosure of the price to the customer if ~~he or she~~ **the customer**
18 wishes to reclaim the part. If a customer raises a question or
19 dispute with the facility ~~within~~ **not later than** 2 business days
20 after the delivery of the repaired vehicle to the customer and the
21 dispute involves an exchange part for which the facility required
22 the customer pay a deposit in the amount of the facility's
23 obligation, the facility shall refund the deposit to the customer
24 if ~~he or she~~ **the customer** returns the part to the facility.

25 (5) A facility that displays the notice described in
26 subsection (2) on a clearly legible sign with lettering ~~at least~~
27 **not less than** 1 inch high, conspicuously displayed in the part of
28 the facility where customers routinely contract for repairs, is not
29 required to provide the notice to a customer in the form of a



document described in subsection (2).

(6) All of the following apply to the disposition of replaced parts that are not returned to the customer:

(a) Unless subdivision (b) applies, the facility shall ~~not~~ ~~dispose of~~ **keep** the parts for ~~at least~~ **not less than** 2 business days after the customer takes possession of the repaired vehicle, unless the customer has specifically authorized immediate disposition of the parts.

(b) If a customer questions or disputes repairs performed by a facility or the charges for those repairs ~~within~~ **not later than** 2 days after the customer takes possession of the repaired vehicle, the facility shall ~~not dispose of~~ **keep** the replaced parts until the question or dispute is resolved. If the dispute involves the replaced part, the facility shall, in the presence of the customer, immediately affix to the part a permanent mark sufficient to identify the part.

(7) If requested by a customer, a facility shall explain exactly why a replaced part is defective or nonfunctional, or otherwise why ~~it~~ **the part** was replaced.

(8) The motor vehicle repair facility shall display a clearly legible sign in a conspicuous place at the entrance ~~of~~ **to** the facility that indicates that customers may make inquiries concerning repair service or complaints to the administrator and states the address and telephone number of the department.

Sec. 40. ~~The~~ **Except as otherwise provided in section 30(2)(a),** ~~the~~ fees collected ~~pursuant to~~ **under** this act ~~shall be~~ **are** credited to the general fund of ~~the~~ **this** state.

Enacting section 1. This amendatory act takes effect on February 1, 2026.

